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Solution

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2018 March 31	Capital A/c	Dr.		50	
	To Interest on drawings A/c				50
	(Interest on drawings provided)				
March 31	Bad debts A/c	Dr.		500	
	To Sundry debtors A/c				500
	(Bad debts written off)				
March 31	Depreciation A/c	Dr.		1,000	
	To Furniture A/c				1,000
	(Depreciation provided on furniture)				

Illustration 3

Sundry debtors as per trial balance as on 31st March, 2016 is ` 10,000.

Adjustment: Write off bad debts amounting to ` 300.

Give adjusting entry and show how these appear in the final accounts as on 31st March, 2016.

Solution

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016 March 31	Bad debts A/c	Dr.		300	
	To Sundry debtors A/c				300
	(Bad debts written off)				

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Bad debts		300			

Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	10,000	
			Less: Bad debts	300	9,700